eCommerce Performance Report

Executive Summary and Channel Analysis

Vasyl Bihari

2026-04-23

Table of contents

eCommerce Performance Report

Executive Summary and Channel Analysis

Prepared by: Vasyl Bihari

Date: April 23, 2026

eCommerce Performance Report

1. Executive Summary

- Total revenue for the period stands at $112,418, with a significant loss of $54,621 in profit.
- The overall average ROAS is reported as infinite due to organic channel performance, while paid channels (Facebook and Google) show low efficiency.
- Facebook and Google channels are underperforming, with ROAS of 0.49 and 0.45 respectively, indicating inefficient ad spend.
- Organic traffic is the only profitable channel, contributing $36,970 with zero associated spend.
- The refund rate is concerning at 5.14%, which could further impact profitability if not addressed.
- Monthly revenue trends show fluctuations, with a peak in January ($38,582) followed by a decline in February ($35,291).
- Immediate attention is needed to improve paid channel performance and reduce refund rates.

---

2. Key Insights

- **Revenue Drivers**: Organic channel generated $36,970 in revenue with no associated spend, highlighting its importance as a cost-effective revenue source.
- **Profit Drivers**: The organic channel is the only source of profit, contributing $35,102, while both Facebook and Google channels are operating at a loss.
- **Channel Performance Differences**: Facebook ($37,678 revenue, $76,851 spend) and Google ($37,770 revenue, $84,407 spend) are both underperforming compared to organic.
- **Conversion Behavior**: The overall conversion rate is 2.98%, indicating potential issues in converting traffic from paid channels.
- **Efficiency**: The average ROAS for Facebook and Google is significantly below 1, indicating that for every dollar spent, less than a dollar is earned back.
- **Refund Rate Impact**: The refund rate of 5.14% could be eroding profits, particularly in paid channels where margins are already thin.
- **Monthly Trends**: Revenue peaked in January but declined in February, suggesting potential seasonality or market changes affecting sales.
- **Spend vs Return**: Total spend of $161,258 against total revenue of $112,418 indicates a negative return on investment across all channels.

---

3. Channel Performance Analysis

Facebook

- **Revenue Contribution**: $37,678
- **Spend Efficiency (ROAS)**: 0.49
- **Profitability**: -$41,139
- **Interpretation**: High spend with low revenue generation indicates ineffective targeting or ad content.

Google

- **Revenue Contribution**: $37,770
- **Spend Efficiency (ROAS)**: 0.45
- **Profitability**: -$48,584
- **Interpretation**: Similar to Facebook, high costs with low returns suggest a need for strategy reevaluation.

Organic

- **Revenue Contribution**: $36,970
- **Spend Efficiency (ROAS)**: Infinity
- **Profitability**: $35,102
- **Interpretation**: Strong performance with no spend indicates a solid organic strategy that should be leveraged further.

Best-Performing Channel: Organic
Worst-Performing Channel: Google

---

4. Trend Analysis

- **January 2026**: Revenue peaked at $38,582 with a loss of $19,060.
- **February 2026**: Revenue declined to $35,291, with a reduced loss of $15,558.
- **March 2026**: Revenue slightly increased to $38,545, but losses widened to $20,002.
- **Patterns**: There is a concerning downward trend in profitability despite relatively stable revenue figures, indicating rising costs or inefficiencies.

---

5. Risk Analysis

- **High-Level Business Risks**:
  - **Refund Rate Impact**: At 5.14%, this rate could significantly impact net revenue and customer trust.
  - **Low ROAS Channels**: Both Facebook and Google are underperforming, leading to wasted ad spend and negative profitability.
  - **Inefficiencies in Spend**: Total spend exceeds total revenue, indicating a need for budget reallocation or optimization.
  - **Dependency on Specific Channels**: Heavy reliance on Facebook and Google for revenue generation without diversification poses a risk.

---

6. Actionable Recommendations

1. **Optimize Paid Advertising**: Reassess targeting and ad content for Facebook and Google to improve conversion rates and ROAS.
2. **Increase Focus on Organic Growth**: Invest in SEO and content marketing strategies to further enhance organic traffic and revenue.
3. **Monitor and Reduce Refund Rates**: Implement stricter return policies or improve product quality to mitigate the impact of refunds.
4. **Diversify Marketing Channels**: Explore additional channels such as email marketing or affiliate partnerships to reduce dependency on Facebook and Google.
5. **Conduct A/B Testing**: Regularly test different ad creatives and landing pages to identify what resonates best with the audience.
6. **Implement Budget Controls**: Set stricter budgets for underperforming channels to limit losses while reallocating funds to more effective strategies.
7. **Analyze Customer Feedback**: Gather insights from customers regarding refunds to identify and rectify underlying issues.
8. **Monthly Performance Reviews**: Establish a routine for reviewing monthly performance metrics to quickly identify trends and adjust strategies accordingly.